

LVMH · Kering · Hermès — fundamental diagnosis, valuation (DCF, multiples), risk (CAPM, portfolio) and recommendation

Steeven DOSSOU-YOVO — Personal project, September 2026
Window FY2020-2025 + H1 2026 · Consolidated IFRS accounts · Primary sources

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Executive summary

per share (€)	LVMH	Kering	Hermès
Market price (30/09/2026)	397,10	225,75	1 354,50
DCF	450,77	354,70	950,46
Retained (0.6 DCF + 0.4 comps)	527,26	312,80	1 475,81
Upside vs price	+32,8 %	+38,6 %	+9,0 %
Consensus	571-580	285-295	1 774-1 843
β / Jensen α	1,133 / -4,51 %	1,100 / -14,57 %	0,883 / +7,40 %

Hermès — hold/add on weakness (quality): EVA +€2,986m, ROIC 53.5 %, net cash, the only positive Jensen's alpha (+7.40 %) — but a demanding price (retained value only +9.0 % upside).

LVMH — buy (quality + upside): DCF +13.5 %, retained +32.8 %, sound structure (9.9 % gearing), stable €13 dividend, organic recovery in Q2 (+3 %).

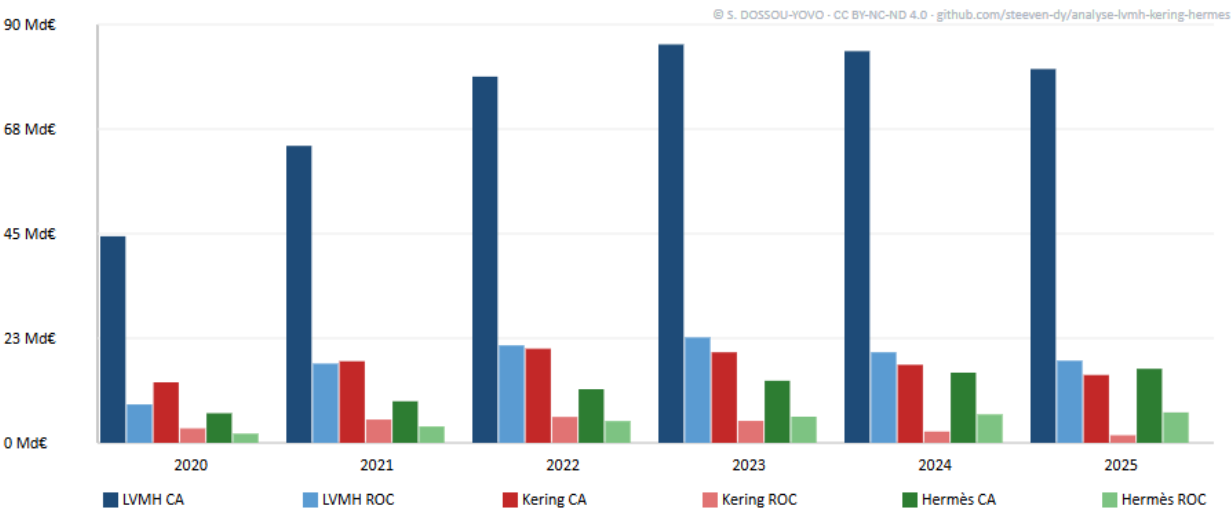
Kering — speculative buy, sized position (turnaround): +39 to +57 % theoretical upside **conditional** on recovery (Gucci, 12.8 % margin, net debt €8,039m → €3,300m); EVA still negative (–€1,455m).

How to invest: cautious → CAC 40 ETF (passive beat active over the window); balanced → LVMH + Hermès; dynamic → add a sized Kering line, long horizon.

Block A — Diagnosis: value creation and destruction

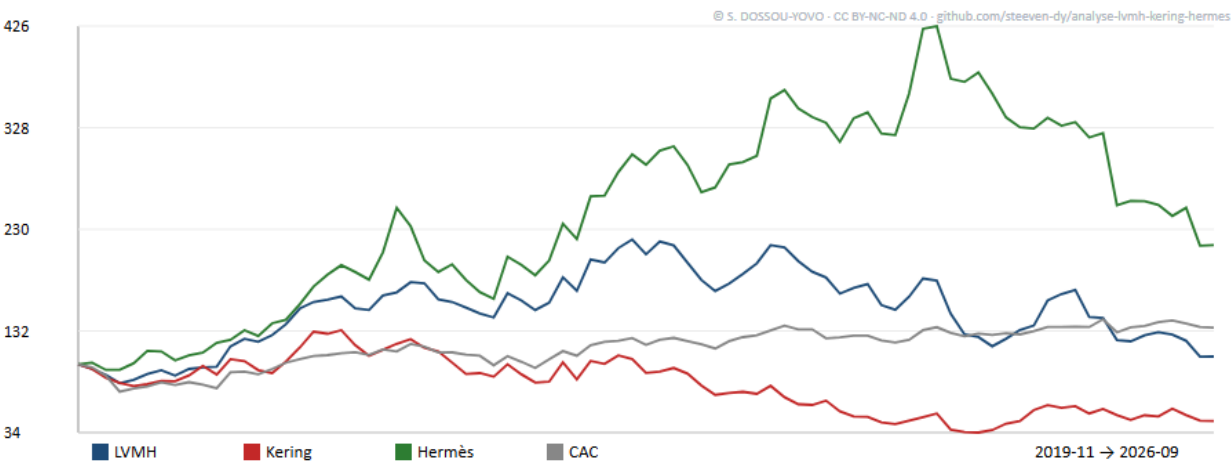
2020-2025 revenue CAGR: LVMH +12.6 % (€44,651m → €80,807m), Hermès +20.2 % (€6,389m → €16,002m), Kering +2.3 % (€13,100m → €14,675m). 2025 operating margin: 22.0 % / 11.1 % / 41.0 %. Group net income: €10,878m (–13.3 %) / €72m (–94 %) / €4,524m. 2025 EVA: +€2,958m / –€1,455m / +€2,986m — the exact measure of the question: LVMH and Hermès create value, Kering destroys it (ROIC 0.52 % < WACC 8.25 %). H1 2026: uneven recovery (+2 % / +1 % / +6.1 % organic-like).

CA et ROC 2020-2025 (M€)



Projet analyse comparative — données : Yahoo Finance, FRED, documents primaires. Généré le 2026-09-27.
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Cours normalisés base 100 (2019-11 → 2026-09)

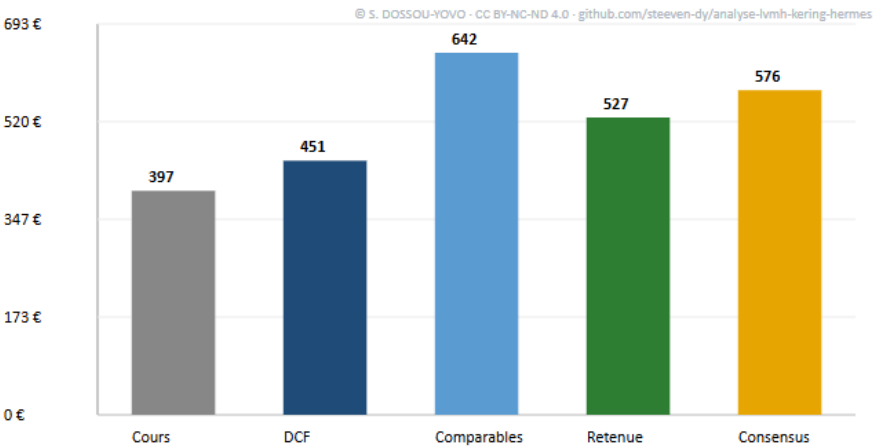


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Block B — Valuation: every model, one choice

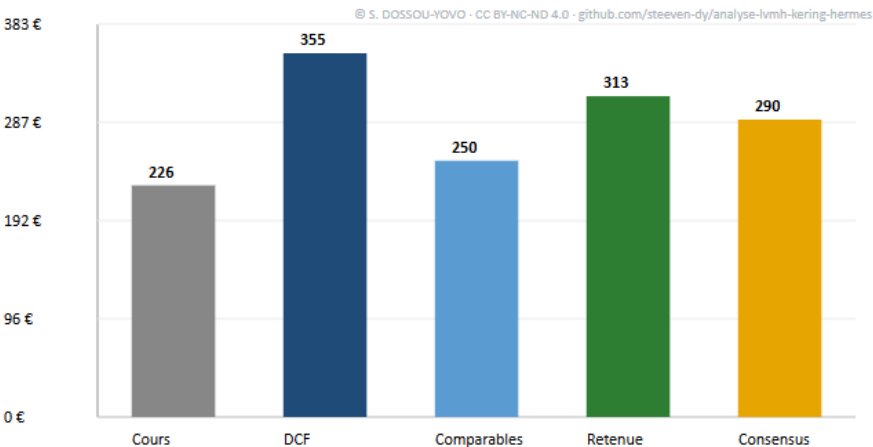
DCF (WACC 8.72 % / 8.25 % / 7.79 %, g 2 %): €450.77 (+13.5 %) / €354.70 (+57.1 %, normalised) / €950.46 (−29.8 %). Gordon DDM: €172.50 / €43.66 / €475.55 — demonstrates Gordon's limits for growth stocks. Trading multiples: EV/EBITDA 10.0 / 12.2 / 18.4, i.e. discounts of 37 % / 9 % / 42 % vs own historical medians. Asset-based approach dismissed as pivot (asset-light luxury). **Retained (0.6 DCF + 0.4 comps): €527.26 / €312.80 / €1,475.81.**

LVMH — waterfall de valorisation (€/action)



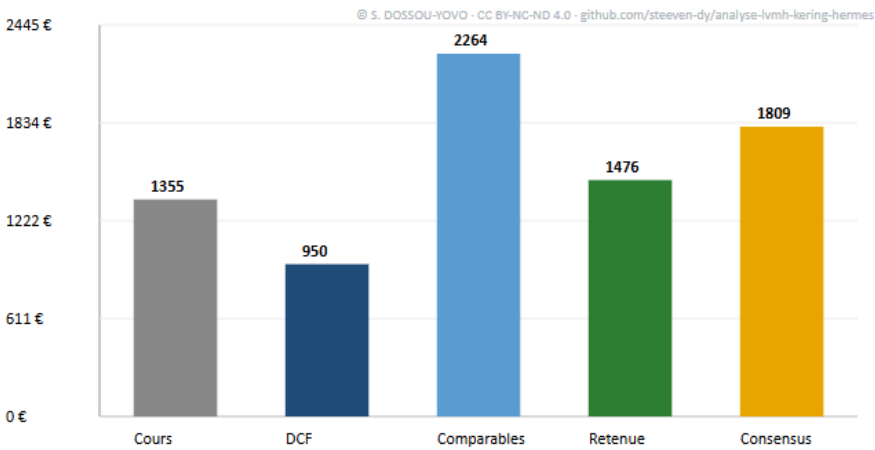
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Kering — waterfall de valorisation (€/action)



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Hermès — waterfall de valorisation (€/action)

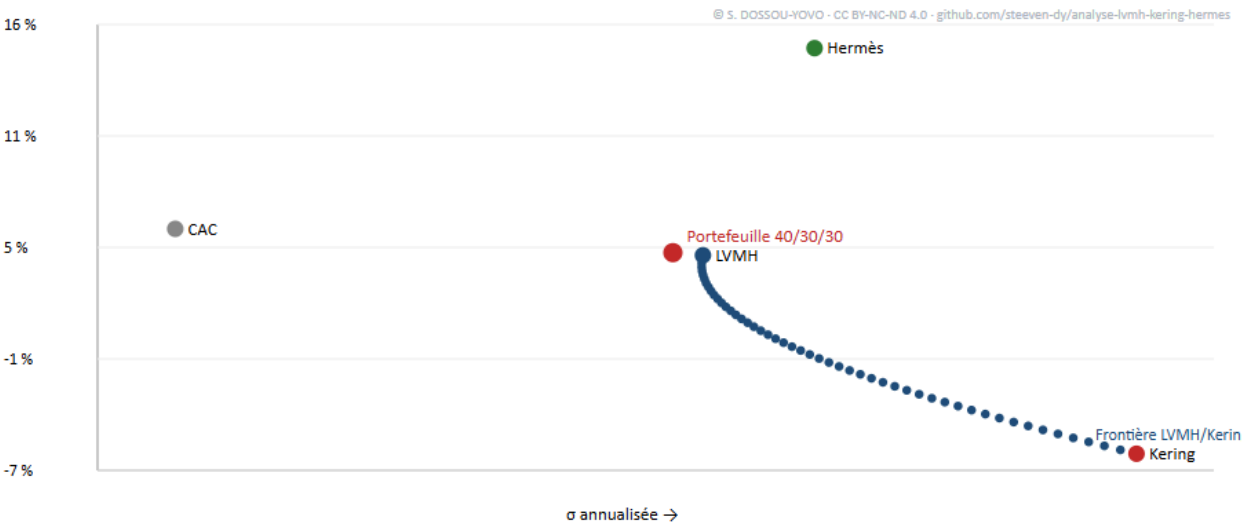


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Blocks C-D — Risk, CAPM, portfolio

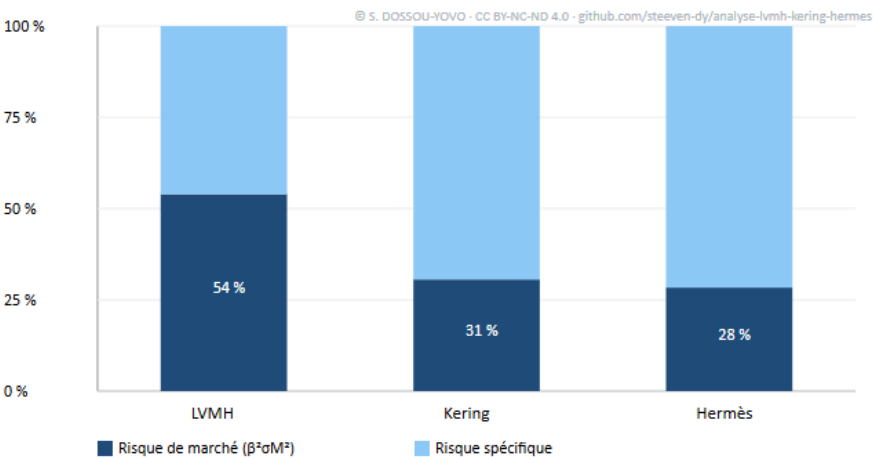
Annualised $E(R)/\sigma$: LVMH 4.52 %/26.57 %, Kering -5.69 %/34.25 %, Hermès 15.19 %/28.55 %.
Coefficient of variation: Hermès 6.51 (lowest, selected), Kering n.m. ($E(R)<0$). Sharpe: 0.414 / -0.265 / 0.043. β : 1.133 / 1.100 / 0.883. Jensen's α : +7.40 % / -4.51 % / -14.57 %. All covariances positive — least correlated pair: Kering-Hermès ($\rho=0.525$). 40/30/30 portfolio: $E(R_p)$ 4.66 %, σ_p 26.04 %, β_p 1.048 — beaten by the CAC 40 ETF (5.88 %/17.22 %) over the window.

Risque-rendement + frontière LVMH/Kering



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Décomposition du risque : marché vs spécifique



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Assumptions, sources, limitations

Assumptions: Rf 3.37 % (2025 OAT average), market risk premium 5 % (documented assumption, sources.md §11; 3-7 % sensitivity), 25 % tax, 2 % terminal g, documented 2026-2030 FCFF (LVMH/Kering analyst consensus, Hermès history), Kering on normalised basis (ex-real-estate FCF €2,313m, 2025 URD).

Sources: universal registration documents and press releases (primary), Yahoo Finance (prices), FRED (risk-free rate), Boursorama/FactSet (consensus, secondary). Full traceability in *sources.md*.

Limitations: scenarios not guaranteed; no external Hermès estimates; window includes the luxury drawdown; net debt excluding lease liabilities; risk premium set at 5 % (documented assumption, sources.md §11). Secondary data cross-checked; primary prevails on conflict.

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Tooling: offline simulator (HTML + Excel, live verified formulas), reproducible Node.js engine. Generated 2026-09-27 · build v1.0.0-4d6756ef.

Appendix — Supporting calculations (DSCG-level worked answers)

Every project calculation, laid out as in a marking scheme: **course formula** → **substituted values** → **result** → **reference**.

Series: 82 monthly returns (Dec. 2019 → Sept. 2026, `data/cours-mensuels.csv`). Control engine: `tools/build-valorisation.js`; results: `data/valorisation-resultats.json`.

1. Monthly return, mean, variance, standard deviation (UE212 Course 1, pp.94-96)

$$R(t) = (P(t) - P(t-1)) / P(t-1); \bar{R} = \sum R(i) / n; \sigma^2 = \sum (R(i) - \bar{R})^2 / (n-1); \sigma = \sqrt{\sigma^2}.$$

Example (LVMH, Dec. 2019 → Jan. 2020, adjusted prices): $R = (352.7356 - 369.6006) / 369.6006 = -4.56\%$. Over 82 months: LVMH $\bar{R} = 0.3768\%$ /month, $\sigma = 7.6701\%$; Kering $\bar{R} = -0.4745\%$, $\sigma = 9.8875\%$; Hermès $\bar{R} = 1.2655\%$, $\sigma = 8.2412\%$; CAC 40 $\bar{R} = 0.4899\%$, $\sigma = 4.9714\%$. Annualisation: $E(R) \times 12$, $\sigma \times \sqrt{12}$.

2. Equity beta (pp.98-99)

$$\beta = \text{Cov}(R_i, R_M) / \sigma^2(R_M), \text{ with } \text{Cov} = \sum (R_i - \bar{R}_i)(R_M - \bar{R}_M) / (n-1).$$

LVMH: $\beta = 0.002801 / 0.002472 = 1.1332$. Kering: 1.1003. Hermès: 0.8830. Reading (p.98): $\Delta R = \beta \times \Delta R_M$ — if the market falls 5%, LVMH loses $\approx 5.67\%$. Beta drivers (p.101): business mix, fixed costs, leverage (Kering: 51.8% gearing).

3. Coefficient of variation and Sharpe (pp.95-97, ex. 38)

$$CV = \sigma(R) / \bar{R} \text{ (select the lowest); Sharpe} = (\bar{R} - R_f) / \sigma, \text{ monthly } R_f = 3.37\% / 12 = 0.281\%.$$

LVMH: $CV = 7.6701 / 0.3768 = 20.35$; annualised Sharpe 0.043. Kering: $CV = 9.8875 / -0.4745 = -20.84 \rightarrow$ **not interpretable** ($\bar{R} \leq 0$): stock rejected on this criterion, not "selected" by a negative CV. Hermès: $CV = 8.2412 / 1.2655 = 6.51$ (minimum $\rightarrow$ **selected**); Sharpe 0.414. CAC 40: CV 10.15; Sharpe 0.146.

4. Risk decomposition (p.104, ex. 42)

$$\sigma^2(R) = \beta^2 \times \sigma^2(R_M) + \text{specific risk}.$$

LVMH: $0.005883 = 0.003174 + 0.002709 \rightarrow$ market share **54.0%**. Kering: 30.6% market. Hermès: 28.4% market. LVMH is the most "market-driven" (diversification barely effective); Kering and Hermès carry $\sim 70\%$ specific risk, diversifiable — within the ~ 30 -stock limit (p.106).

5. Covariance and correlation (p.105)

$$\text{Cov}(A, B) = \sum (R_A - \bar{R}_A)(R_B - \bar{R}_B) / (n-1); \rho = \text{Cov} / (\sigma_A \times \sigma_B).$$

LK: $\text{Cov} 0.00567$, $\rho = 0.748$. LH: $\text{Cov} 0.00453$, $\rho = 0.716$. KH: $\text{Cov} 0.00428$, $\rho = 0.525$. All positive: no textbook offsetting ("periods of weak returns compensated by the other's outperformance" does not occur here).

6. Two-asset portfolio risk (pp.106-107)

$$\sigma_p^2 = a^2\sigma_A^2 + b^2\sigma_B^2 + 2ab \cdot \sigma_A \cdot \sigma_B \cdot \rho; E(R_p) = a \cdot E(R_A) + b \cdot E(R_B).$$

Kering-Hermès 50/50 (monthly: $\sigma_K = 9.8875\%$, $\sigma_H = 8.2412\%$, $\rho = 0.525$): $\sigma_p^2 = 0.25 \times 0.098875^2 + 0.25 \times 0.082412^2 + 2 \times 0.25 \times 0.098875 \times 0.082412 \times 0.525 = 0.006277 \rightarrow$ monthly $\sigma_p 7.923\%$, i.e. **27.45% annualised**; $E(R_p) = 0.5 \times (-5.69\%) + 0.5 \times 15.19\% = 4.75\%$. LVMH-Kering 50/50: $E = -0.59\%$, $\sigma_p = 28.46\%$. LVMH-Hermès 50/50: $E = 9.85\%$, $\sigma_p = 25.53\%$ (lowest absolute risk of the three pairs).

7. Diversification gain (p.107: effective if $\rho < 1$)

σ_p vs weighted sum of individual risks. K-H: 27.45% vs 31.40% $\rightarrow$ **12.6% gain**. L-K: 28.46% vs 30.41% $\rightarrow$ 6.4%. L-H: 25.53% vs 27.56% $\rightarrow$ 7.4%. The least correlated pair (K-H) gives the largest relative gain, but **not the lowest absolute risk** (L-H:

25.53%) — the two criteria do not coincide.

8. Portfolio beta (p.110)

$\beta_p = a \cdot \beta_A + b \cdot \beta_B$. 40/30/30 portfolio: $\beta_p = 0.4 \times 1.1332 + 0.3 \times 1.1003 + 0.3 \times 0.8830 = 1.048$.

9. CAPM (pp.110-111)

$R_{cp} = R_0 + \beta \times (R_M - R_0)$, $R_f = 3.37\%$, premium = 5% (documented assumption: sources.md §11; 3-7 % sensitivity).

LVMH: $3.37 + 1.1332 \times 5 = 9.04\%$. Kering: $3.37 + 1.1003 \times 5 = 8.87\%$. Hermès: $3.37 + 0.8830 \times 5 = 7.79\%$.

Assumption (p.110): only market risk is priced; specific risk is managed through diversification.

10. Jensen's alpha (p.112)

α = actual return - expected (CAPM) return. LVMH: $4.52 - 9.04 = -4.51\%$ (overvalued). Kering: $-5.69 - 8.87 = -14.57\%$ (overvalued). Hermès: $15.19 - 7.79 = +7.40\%$ (undervalued).

11. 2025 TSR

$(\text{Dec-25 price} + \text{DPS} - \text{Dec-24 price}) / \text{Dec-24 price}$. LVMH: $(546.90 + 13.00 - 703.50) / 703.50 = -20.41\%$. Kering: $(264.15 + 3.00 - 253.45) / 253.45 = +5.41\%$. Hermès: $(2,029.00 + 18.00 - 2,724.00) / 2,724.00 = -24.85\%$. CAC 40 (ex-dividends): $+2.22\%$.

12. WACC

$\text{WACC} = E/V \cdot R_e + D/V \cdot R_d \times (1 - \text{tax})$, tax = 25%. LVMH: cap = $397.10 \times 496.39 = \text{€}197,116\text{m}$; $V = \text{€}205,361\text{m}$; $\text{WACC} = 0.9599 \times 9.04\% + 0.0401 \times 1.48\% \times 0.75 = 8.72\%$ ($R_d = 545/36,779 = 1.48\%$, 2025 cash interest/debt). Kering: $0.8935 \times 8.87\% + 0.1065 \times 4.08\% \times 0.75 = 8.25\%$ ($R_d = 328/8,039 = 4.08\%$, net-debt cost, 2025 URD). Hermès: net cash → $\text{WACC} = R_e = 7.79\%$.

13. DCF (UE212 Course 2, part 3)

$EV = \sum FCFF(t) / (1+WACC)^t + [FCFF(30) \times (1+g) / (WACC-g)] / (1+WACC)^5$; equity = EV - net debt; per share = equity/shares. LVMH (WACC 8.72%, g 2%): 2026 PV = $14,300 / 1.0872 = \text{€}13,153\text{m}$; TV = $17,100 \times 1.02 / (0.0872 - 0.02) = \text{€}259,632\text{m}$; EV = $\text{€}232,003\text{m}$; equity = $\text{€}223,758\text{m}$; **€450.77/share** ($223,758/496.39$). Kering: **€354.70**. Hermès: **€950.46** (negative debt = +cash). Ranges ($\pm 15\%$ FCFF, $\pm 1\text{pt}$ WACC, g 1.5/2.5%): see note §2.

14. Multiples, NAV, yield, mixed (UE212 Course 2, part 3)

Sept. 2026 prices / 2025. P/E = Price/EPS: $397.10/21.86 = 18.2$; $225.75/0.59 = 382.6$ (n.m.); $1,354.50/43.15 = 31.4$. EV/EBITDA: $205,362/20,587 = 10.0$; $30,981/2,543 = 12.2$; $129,696/7,041 = 18.4$ (own historical medians 15.88/13.35/31.96 → discounts of 37%/9%/42%). NAV = equity/shares: $\text{€}138.90 / \text{€}126.53 / \text{€}179.70$. Yield value = EPS/Re: $\text{€}241.82 / \text{€}6.65 / \text{€}553.98$. Mixed: $\text{€}190.41 / \text{€}66.59 / \text{€}366.98$.

15. EVA / MVA (UE212 Course 4)

$EVA = (ROIC - WACC) \times CE$; $MVA = \text{Cap} - \text{equity}$. LVMH: $(12.55\% - 8.72\%) \times 77,194 = +\text{€}2,958\text{m}$; MVA $\text{€}128,167\text{m}$. Kering: $(0.52\% - 8.25\%) \times 23,554 = -\text{€}1,455\text{m}$; MVA $\text{€}12,166\text{m}$. Hermès: $(53.51\% - 7.79\%) \times 6,607 = +\text{€}2,986\text{m}$; MVA $\text{€}123,166\text{m}$ (CE = equity + net debt; negative debt deducted).